China's hog industry

At the trough, mapping the path to recovery

Equities
Food Products

China

- Second-worst loss cycle since 2014 with self-breeding losses for around 9 months
- Sow inventory reduction accelerates through 2Q26; supply contraction from 4Q26e driving hog price recovery
- Maintain Buy ratings on Muyuan, Wens and Haid Group with unchanged TPs

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Review: a record-breaking downcycle. China's hog sector is navigating its second-deepest loss cycle since 2014. The national hog price hit RMB9/kg in April 2026 – an all-time low since 2014 – and is currently oscillating around RMB9.5/kg. Self-breeding losses exceed RMB300/head, with over-RMB200/head losses persisting for over three months, making this the second-worst loss amplitude and the second-longest severe-loss episode on record. Despite pork being the cheapest animal protein source (supporting resilient demand evidenced by cold-storage inventory at a three-year high), oversupply has kept prices suppressed. The root cause traces back to May 2025, when MARA guided corporate producers to cut sow inventories, and while they complied, non-corporate producers expanded capacity, worsening the supply overhang for 1H26. Our estimates show that adding 10,000 head of sows against the policy tide in May 2025 would have incurred significant losses in March 2026 and onward.

Outlook: capacity depletion underway; hog price inflection in 4Q26e. We maintain our view that the decline in sow inventories will accelerate through 2Q26, driven by three forces: 1) financially strained non-corporate producers being forced to reduce sow herds (below, we analyze the losses from expanding sow heads against policy guidance in May 2025); 2) corporate producers maintaining sow levels per MARA guidance; and 3) piglet-specialist farms likely to cut capacity if 7kg piglet prices fall below RMB200/head. Production efficiency gains will partially offset the sow inventory reduction, but with the national sow inventory already down 3.3% y-o-y as of March 2026 and on track to reach MARA's 37.5 million target, we expect y-o-y hog supply to contract from 4Q26e onward, driving a moderate price recovery. Looking into 2027, sustained supply contraction should support a y-o-y price improvement.

Maintain Buy ratings on Muyuan, Wens and Haid. From a valuation standpoint, Muyuan Foods and Wens Foodstuff have both priced in this prolonged loss cycle and are trading at what we view as mid-cycle bottoms — levels that imply permanent impairment of earnings power, a scenario we believe is overly pessimistic given the hog cycle's self-correction mechanism. Haid Group offers an earlier earnings recovery catalyst in 3Q26e. We maintain our Buy ratings on Muyuan, Wens, and Haid. See valuation and key risks on *page 2*.

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Valuation and risks

		Valuation	Risks
Haid Group 002311 CH **Buy**	Current price: **RMB42.40** Target price: **RMB63.50** Up/downside: **+49.8%**	**Methodology:** Target PE multiple (unchanged). **Assumptions:** We forecast a net profit CAGR of 13% in 2025-28e, 19% lower than the historical average in 2014-25; our target multiple is therefore 21.9x, 19% lower than the historical average in 2014-25. Based on our 2026e EPS of RMB2.90, we derive a target price of RMB63.50 (all unchanged). Our TP implies c50% upside to the current share price; we therefore retain our Buy rating on the stock. **Yihui Sha* (Reg no: S1700519100001)** | yihui.sha@hsbcqh.com.cn | +86 21 5066 2004	**Downside risks** ◆ Overseas expansion below expectations ◆ An avian flu outbreak ◆ Unexpected surge in raw material prices ◆ 2Q26e net profit under pressure due to drag of hog segment
Muyuan Foods 002714 CH **Buy**	Current price: **RMB33.02** Target price: **RMB54.50** Up/downside: **+65.1%**	**Methodology:** EV/EBITDA multiple (unchanged) **Assumptions:** We use an EV/EBITDA multiple of 10x, which is the 2014-24 historical average of its peers with high dividend payout ratio. Applying this target multiple to our 2026-27 average EBITDA of RMB38,133m, we derive a target price of RMB54.50 (all unchanged). Our TP implies c65% upside. Combined with the company's cost leadership, industrial chain extension and expected industry cycle reversal, we maintain our Buy rating. **Yihui Sha* (Reg no: S1700519100001)** | yihui.sha@hsbcqh.com.cn | +86 21 5066 2004	**Downside risks** ◆ African Swine Fever or other hog diseases ◆ Slower-than-expected industry capacity reduction ◆ Higher-than-expected raw material price hikes. ◆ 2Q26e net profit under pressure due to sluggish hog price
Wens Foodstuff 300498 CH **Buy**	Current price: **RMB12.15** Target price: **RMB18.00** Up/downside: **+48.1%**	**Methodology:** PB-ROE **Assumption:** Based on our 2026-27 average ROE estimate of 18%, we use a 2.52x target PB. Based on our 2026-27 average BVPS estimate of RMB7.16, we derive a target price of RMB18.00 (all unchanged). Our target price implies c48% upside. We maintain our Buy rating on this stock. **Yihui Sha* (Reg no: S1700519100001)** | yihui.sha@hsbcqh.com.cn | +86 21 5066 2004	**Downside risks** ◆ African Swine Fever or other hog diseases. ◆ Slower-than-expected industry capacity reduction. ◆ Higher-than-expected raw material price hikes. ◆ 2Q26e net profit under pressure due to sluggish hog price

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Note: Priced as of 23 June 2026
Source: Wind, HSBC Qianhai Securities estimates

Where are hog prices now?

Absolute price: In April 2026, the national average hog price (source: National Bureau of Statistics, NBS) hit RMB9/kg, the lowest point since 2014 (*Exhibit 1*). The market has since recovered modestly to ~RMB9.5/kg but remains deeply depressed by historical standards.

Relative price (protein substitution): Pork prices relative to chicken, beef, eggs, and fish have all fallen to historical trough levels (*Exhibit 2*), making pork the one of the cheapest animal-protein sources in the current consumer environment. This provides a structural demand floor for pork consumption.

Profitability and loss cycle duration: deep and persistent losses. Self-breeding farmers are currently losing ~RMB300/head (source: Wind, *Exhibit 3*). Losses have endured for over 9 months (since Sep 2025, averaging RMB215/head). This is the second-deepest loss amplitude (after 2021's RMB318/head).

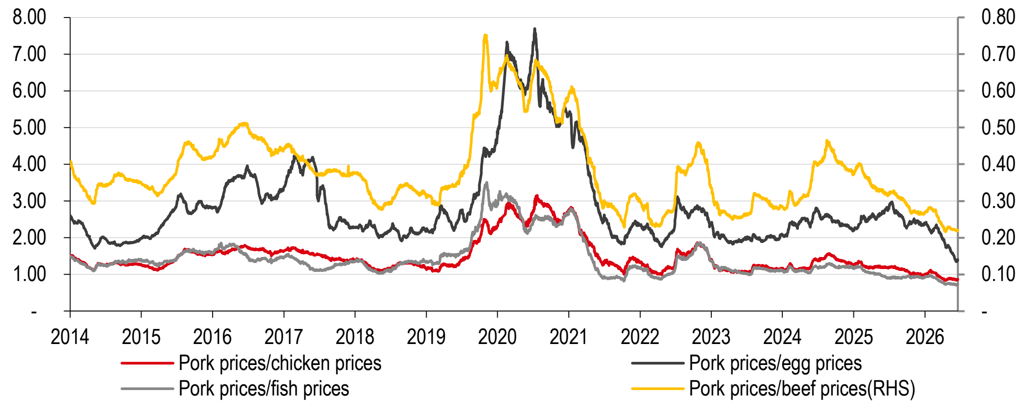
Why are prices so low?

Supply-side driven, not demand-side. Pork's relative-value advantage as the cheapest animal protein should sustain resilient consumer demand. Indeed, downstream cold-storage inventory hit a three-year high year-to-date (source: SCI), signalling robust off-take from the processing channel and strong underlying consumption. The evidence points to **oversupply as the primary driver**, not weak demand.

Exhibit 1. Hog price (RMB/kg): lowest since 2014

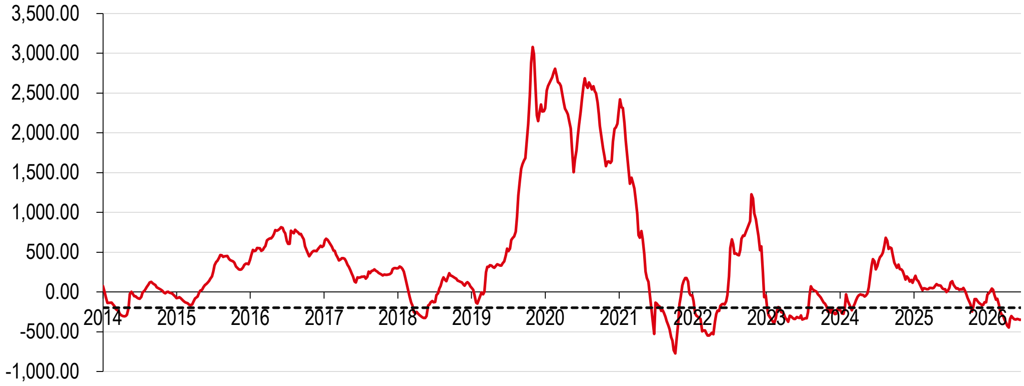
Source: NBS, HSBC Qianhai Securities

Exhibit 2. Pork price near multi-year lows vs. other meats – lowest since 2014



Source: Wind, HSBC Qianhai Securities

Exhibit 3. Profitability of self-breeding farmers since 2014 (RMB/head)



Source: Wind, HSBC Qianhai Securities

Note: If a loss cycle is interrupted only by a brief period of profitability with profits under RMB50/head before reverting to losses, we treat the entire period as one continuous loss cycle.

Exhibit 4. Historical loss cycle of self-breeding farmers (since 2014)

Loss cycle	Duration	Avg Loss (RMB/head)
Jan ~ Jul 2014	6 months	-151
end-Oct 2014 ~ Apr 2015	6months	-70
Mar ~ Jul 2018	5 months	-198
Jan ~early Mar 2019	1.5 months	-70
Jun 2021~ Jun 2022 (excl. Nov 2021)	**11 months (combined)**	**-318**
Jan 2023 ~May 2024	**16 months**	**-211**
Sep 2025 – present (Jun 2026)	**~9 months (ongoing)**	**-215**

Source: Wind, HSBC Qianhai Securities

Why the oversupply?

Hog supply from March 2026 onward is determined by the breeding sow inventory ~10 months prior, i.e., the sow herd dynamics starting May 2025.

In May 2025, the Ministry of Agriculture and Rural Affairs (MARA) held multiple meetings urging large-scale corporate farms to cap or reduce their sow herds, signaling an impending sector-wide contraction. The market turned more optimistic on 2026e hog prices in anticipation of reduced supply.

By end-September 2025, **Muyuan's sow reduction alone exceeded the national total decline** (*Exhibit 5*), suggesting that while corporate players complied with MARA's guidance to reduce or stabilise sow herds, **non-corporate (smallholder) producers were still expanding capacity**.

This is consistent with our previously published view: corporate players would pare sow numbers under policy direction but would simultaneously **optimise their sow herd structure** (higher PSY, better survival rates), boosting per-sow productivity and partially offsetting the headcount reduction. Meanwhile, non-corporate producers continued adding sows through at least September 2025, further inflating the supply pipeline for March-July 2026. This is the very reason we held a bearish view on 1H26 hog prices in our earlier reports (see *Hog price downtrend continues in 1H26*, 13 October 2025).

Exhibit 5. Quarterly changes in sow inventories since 2025 (m head)

	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
National sow inventories (NBS)	40.39	40.43	40.35	39.61	39.04
changes (q-o-q, m head)		**+0.04**	**-0.08**	-0.74	-0.57
Muyuan's sow inventories	3.49	3.43	3.31	3.23	3.13
changes (q-o-q, m head)		**-0.05**	**-0.13**	-0.07	-0.10

Source: NBS, Wind, company announcement, HSBC Qianhai Securities

How much did adding 10,000 sows in May 2025 lose?

We simplify the hog production chain to two cases for breeding sows: **1) selling piglets; or 2) selling finishing hogs.**

- **Scenario 1: Purchasing culled sows as breeding sows.** Culled sows typically weigh 180kg+. In May 2025, the average culled-sow price was RMB11.7/kg, implying a total outlay of RMB21.1m for 10,000 head.
  - **Weaned piglet path.** Weaned piglets from these sows would be ready by October 2025. At that time, the weaned-piglet price was RMB172/head vs. a cost of RMB292/head, resulting in a loss of ~RMB12.4m if all piglets were sold immediately.
  - **Finishing hog path.** We believe most non-specialised piglet producers would not sell piglets at a loss; they would instead raise piglets to finishing weight. The corresponding ready date would be March 2026. The average loss per finishing hog in March was RMB242/head, implying a total loss of ~RMB23.0m.
- **Scenario 2: Converting replacement gilts to breeding sows.** In May 2025, the cost of a replacement gilt (50kg → breeding-ready) was RMB2,849/head. For 10,000 head, the upfront outlay was RMB28.5m. Subsequent piglet/hog losses are identical to Scenario 1.

Net-net: adding 10,000 sows between May and August 2025 would have incurred upfront costs of RMB20-30m. In addition, finishing hog sales may generate a further RMB20m in losses. We believe the combined sow purchase costs and finishing hog losses impose significant financial strain on hog breeding farmers.

Exhibit 6. Analysis of purchasing 1 breeding sow starting from May 2025 (RMB)

	May 2025	Jun 2025	Jul 2025	Aug 2025	Sep 2025
Scenario 1	2,106	1,974	1,934	1,832	1,734
Scenario 2	2,849	2,840	2,837	2,855	2,859
Corresponding weaned piglet sale date	**Oct 2025**	**Nov 2025**	**Dec 2025**	**Jan 2026**	**Feb 2026**
# of weaned piglet	10.3	10.3	10.1	10.2	10.3
Weaned piglet price(RMB/head)	172	207	218	292	360
Weaned piglet cost(RMB/head)	292	288	287	289	284
Profit/loss if selling weaned piglet	**-1,240**	**-832**	**-702**	**30**	**785**
Corresponding finishing hog sale date	**Mar 2026**	**Apr 2026**	**May 2026**	**Jun 2026**	**Jul 2026**
# of finishing hogs	9.5	9.5	9.3	9.4	9.5
Profit/loss if selling finishing hogs	**-2,298**	**-3,135**	**-2,831**	**-2,965**	**NM**

Source: SCI, Wind, HSBC Qianhai Securities estimates

Why will capacity continue to deplete?

Non-corporate producers who expanded against policy guidance are under severe financial strain. Our analysis suggests these players suffered meaningful losses from the May 2025 expansion and are now being forced to reduce capacity, even if their price outlook remains optimistic.

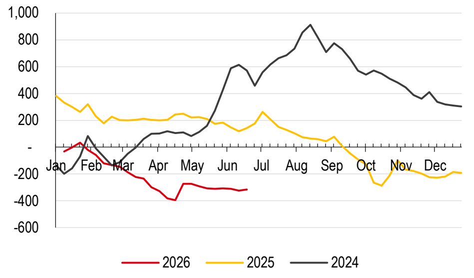
Corporate producers have already reduced sow inventory in line with MARA guidance. Absent further policy intervention, we expect corporate sow herds to stabilise at current levels. Additional policy pressure could trigger further reductions.

Other self-breeding farmers, even those who did not expand in May 2025, are being squeezed by the March – June 2026 deep-loss environment. The sustained losses will push these operators to reduce sow inventory as working capital depletes.

Piglet-specialist farms. Weaned-piglet prices held up relatively well through 1H26, keeping losses modest and not yet triggering this capacity exit, in our view. **However, if the 7kg weaned-piglet price falls and stays below RMB200/head, we expect this segment to accelerate capacity reduction as well.**

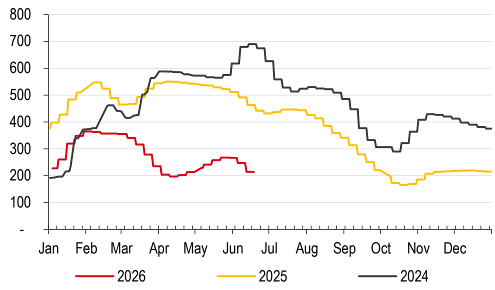
Conclusion: We maintain our view that hog industry capacity will accelerate its decline through 2Q26e.

Exhibit 7. Self-breeding profits (RMB/head)



Source: SCI, HSBC Qianhai Securities

Exhibit 8. Piglet (7kg) price (RMB/head)



Source: SCI, HSBC Qianhai Securities

The impact of efficiency gains

Efficiency improvements will partially offset the impact of sow inventory reduction. We estimate the sow efficiency corresponding to finishing hog volumes in:

- **1H26e:** Production efficiency +2-3% y-o-y
- **2H26e:** Further improvement to +4-5% y-o-y, though persistent losses may cap actual gains below this range
- **2027e:** Efficiency improvement of ~2-3% y-o-y, driven primarily by:
    - Sow structure optimisation at corporate farms
    - Elimination of low-efficiency capacity from non-corporate producers forced out of the market

This is consistent with the production efficiency trajectory observed among leading corporate players since 2024.

As of March 2026, the national breeding sow inventory was down 3.3% y-o-y. MARA has lowered the target sow inventory threshold to 37.5m head. Given deep losses in 2Q26, if the sequential monthly decline averages 0.5-1%, the sow herd could reach MARA's target by 3Q26e, implying a y-o-y decline of approximately 7%.

We therefore expect China's hog supply to contract y-o-y in 2027e, driving a year-on-year price recovery.

When is the inflection point?

Based on breeding sow inventory trends combined with production efficiency indicators, we expect **y-o-y supply contraction to begin in 4Q26e**. However, the rising cold-storage inventory (at a three-year high y-t-d) will partially absorb the supply reduction.

Our base case: a moderate price recovery in 4Q26e, rather than a sharp rebound. A full-cycle recovery would require sustained depletion of both live-hog and cold-storage inventories.

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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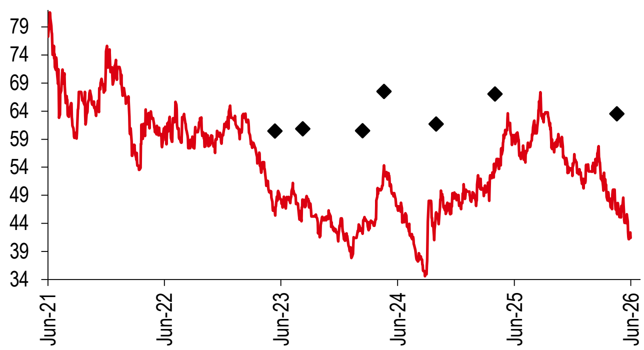
Haid Group (002311.SZ) share price performance CNY Vs HSBC rating history



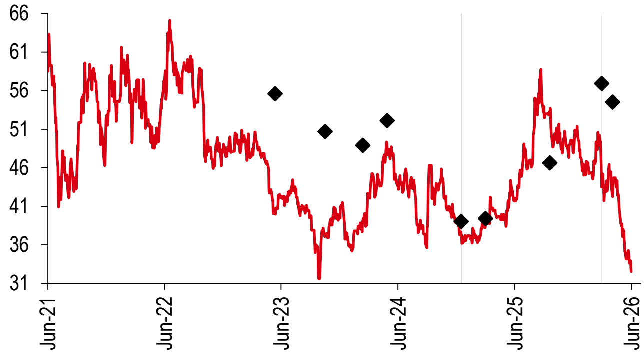
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	16 Oct 2019	Andy Li
Target price	**Value**	**Date**	**Analyst**
Price 1	60.40	06 Jun 2023	Yihui Sha
Price 2	60.80	01 Sep 2023	Yihui Sha
Price 3	60.50	06 Mar 2024	Yihui Sha
Price 4	67.50	13 May 2024	Yihui Sha
Price 5	61.70	23 Oct 2024	Yihui Sha
Price 6	67.00	25 Apr 2025	Yihui Sha
Price 7	63.50	12 May 2026	Yihui Sha

Source: HSBC

Muyuan Foods (002714.SZ) share price performance CNY Vs HSBC rating history



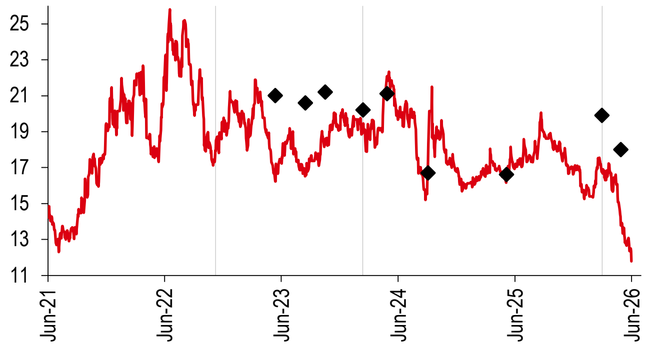
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	21 Apr 2021	Andy Li
Buy	Hold	08 Jan 2025	Yihui Sha
Hold	Buy	24 Mar 2026	Yihui Sha
Target price	**Value**	**Date**	**Analyst**
Price 1	55.60	06 Jun 2023	Yihui Sha
Price 2	50.70	09 Nov 2023	Yihui Sha
Price 3	48.90	06 Mar 2024	Yihui Sha
Price 4	52.10	22 May 2024	Yihui Sha
Price 5	39.00	08 Jan 2025	Yihui Sha
Price 6	39.40	25 Mar 2025	Yihui Sha
Price 7	46.60	13 Oct 2025	Yihui Sha
Price 8	56.90	24 Mar 2026	Yihui Sha
Price 9	54.50	27 Apr 2026	Yihui Sha

Source: HSBC

Wens Foodstuff Group (300498.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	01 Dec 2022	Yihui Sha
Buy	Hold	06 Mar 2024	Yihui Sha
Hold	Buy	24 Mar 2026	Yihui Sha
Target price	**Value**	**Date**	**Analyst**
Price 1	21.00	06 Jun 2023	Yihui Sha
Price 2	20.60	08 Sep 2023	Yihui Sha
Price 3	21.20	09 Nov 2023	Yihui Sha
Price 4	20.20	06 Mar 2024	Yihui Sha
Price 5	21.10	21 May 2024	Yihui Sha
Price 6	16.70	26 Sep 2024	Yihui Sha
Price 7	16.60	29 May 2025	Yihui Sha
Price 8	19.90	24 Mar 2026	Yihui Sha
Price 9	18.00	22 May 2026	Yihui Sha

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
HAID GROUP	002311.SZ	41.40	24 Jun 2026	7
MUYUAN FOODS	002714.SZ	32.53	24 Jun 2026	–
WENS FOODSTUFF GROUP	300498.SZ	11.79	24 Jun 2026	–

Source: HSBC

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